GMS WEEKLY

Your Source for Recycling News

March 4th, 2022
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Week 9

Highlights:

- **Firm showing.**
- **Steel rise.**
- **Bangla leads.**
- **Commodities cruise.**
- **Supply cools.**

QUOTE of the WEEK

"The most difficult thing is the decision to act, the rest is merely tenacity."

– Amelia Earhart

MARKET COMMENTARY

REPERCUSSIONS!

It was another incredibly firm showing from the sub-continent markets this week, particularly Bangladesh and even a recently resurgent India (who now seem to be competing even more on tonnage), whilst Pakistan misses out on units once again, largely behind on the numbers due to local concerns surrounding the impact of the ongoing war in Ukraine.

Except China, local steel plate prices have made some impressive gains across the board in the top recycling international destinations this week, especially in India and Bangladesh. As a result, Alang Buyers have managed to secure the show stopping sale of the week, with a Capesize Bulker being committed for strictly HKC recycling and that too at levels competitive with those from Bangladesh.

Even in Turkey, both import and local steel plate prices have made improvements this week, with levels for all types of tonnage now firmly poised past the USD 400/Ton barrier – a first in memorable history.

Meanwhile, Chattogram continues to lead the way with some of the best rates witnessed in the sub-continent since the shipping boom of 2008, during which, the world saw recycling prices exceed USD 800/LDT. However, there seems little danger of that feat being repeated once again (at least for now).

Commodity prices have also surged during this bleak time of conflict and the cost to operate / deliver a vessel for recycling has also risen exponentially, primarily due to soaring oil prices that are now positioned well above USD 100 / barrel (at the time of writing).

The supply of vessels may cool off going into the second quarter of the year due to rising Tanker rates and continuing firm Dry Bulk income - unless those vessels that have SS / DD due imminently and BWTS installations required, that may make them uneconomical to continue trading.

For week 9 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Firm	630 / LDT	640 / LDT	650 / LDT
2	India	Firmer	620 / LDT	630 / LDT	640 / LDT
3	Pakistan	Firm	610 / LDT	620 / LDT	630 / LDT
4	Turkey	Hot	400 / LDT	410 / LDT	420 / LDT

BANGLADESH

LEADING THE WAY!

Missing cape.

Bangladesh leads the way for another week but has started to miss out on vessels to competing markets, and this week (surprisingly), it was India on a favoured large LDT Cape for HKC recycling only.

Steel plate prices have been on an upward trajectory once again and this week alone, levels jumped nearly USD 42/Ton, leading to some of the best recycling offers we have seen since the highs of 2008.

No 700s.

We have not reached USD 700/LDT on standard vessels just quite yet, with mid USD 600s/LDT being seen for the time being, on the slimmer array of vessels that are working firm for sale - something which is contributing to a rampant demand in all sub-continent markets.

NO MARKET SALES REPORTED

INDIA

PUSHING ON!

The Indian market pushed on even further this week, as steel plate prices made some remarkable gains - firming by about USD 46/Ton within this week alone - whist the Indian Rupee (that is now reflecting the global currency volatility) is trading in the high Rs. 76s against the U.S. Dollar.

Steel rise.

Indeed, Alang Buyers managed to secure the showstopping sale of the week as Berge Bulk of Singapore sold their second Capesize Bulker this year, for full range HKC recycling. The heavier ice classed and large LDT BERGE ARCTIC (27,461 LDT) was finalised for a whopping USD 660/LDT, on a delivered basis.

Competing.

As it therefore stands, India seems there to compete on any and all market vessels available - not just specialist non-ferrous units and HKC only vessels (as was previously the case).

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
BERGE ARCTIC	Bulker	27,461	USD 660/LT LDT (for full range HKC recycling only)

PAKISTAN

Recovering appetite?

Too little too late.

Pakistan may be starting to regain some appetite and confidence this week, but it seems to be too little too late, especially as the other markets have pushed well beyond Gadani's offerings and vessels have already been diverted to competing shores.

Gadani Buyers did have decent possibilities to secure some of the geographically positioned candidates, but the ongoing confusion and nerves have (re)surfaced once the Russian invasion of Ukraine transpired.

Missing out.

As such, it seems as though Pakistani Buyers will (once again) be missing out on a majority of the tonnage on offer in the foreseeable future, given the stunning form and confidence / demand from neighbouring competitors at present.

NO MARKET SALES REPORTED

TURKEY

BALTIC BLUES!

This week again, the focus of the Turkish market remains the unfolding crisis in Ukraine. While certainly beneficial to the Turkish recycling market, the volatility of this recent improvement certainly remains of concern given that levels for all types of vessels have now firmly jumped across USD 400/Ton.

Prices breach USD 400/Ton.

Steel fundamentals remain firm as both import and local steel plate prices recorded further improvements this week. On the other hand, like India, the Turkish Lira weakened past TRY 14.1X against the U.S. Dollar in light of the unfolding crisis.

Certainly, this market seem poised for a further improvement since the crisis in the Baltic seems far from over at this juncture. As such, Turkey is certainly a market to watch out for in the near future.

Market to watch.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The White House in Washington, DC, has 132 rooms, including 35 bathrooms.*
- *It takes 570 gallons to paint the exterior of the White House.*
- *The teddy bear is named after President Theodore Roosevelt. After he refused to shoot a captured black bear on a hunt, a stuffed-animal maker decided to create a bear and name it after the president.*
- *Lincoln Logs were created by John Lloyd Wright, son of famous architect Frank Lloyd Wright, in the 1920s. They were named after Abraham Lincoln, who grew up in a log cabin.*
- *Play-Doh started out as a wallpaper cleaner before the head of the struggling company realized the non-toxic material made a good modeling clay for children and rebranded it.*
- *In the 1940s, a retired schoolteacher came up with Candyland to entertain children who were hospitalized from polio. Because its color system required no reading, young kids could easily play.*
- *People started wearing pajamas, originally spelled "pyjamas," instead of nightgowns so they'd be prepared to run outside in public during World War I air raids in England.*
- *At Medieval Times dinner attractions, you eat with your hands because people didn't use utensils in the middle ages.*
- *Freelancers originally referred to self-employed, sword-wielding mercenaries: literally "free lancers."*
- *We shake hands to show we're unarmed.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 01 – Maha Shivratri March 19 - Holi	February 28 – March 06 March 17 – March 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 17 – Birthday of Sheikh Mujibur Rehman March 19 – Shab-e-Barat March 26 – Independence Day	March 03 – March 06 March 19 – March 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in March	March 23 – Pakistan Day	**No holidays in March.**

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ALANG - Port Position as of March 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Harriet	2,292	Tanker	Arrived December 09
2	MNG Capt James Cook (Under Tow)	2,778	Supply Vessel	Arrived February 12
3	*Odin*	*9,835*	*LPG*	*Beached March 04*
4	Pavel Panin	3,153	Fishing vessel	Arrived March 01
5	*Sayyaf*	*771*	*Supply Vessel*	*Beached March 01*
6	*Vice*	*27,130*	*FPSO*	*Beached March 01*
Total Tonnage		**45,959**		

CHATTOGRAM - Port Position as of March 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Bell*	*17,649*	*Bulk Carrier*	*Beached March 04*
2	*Berge Aoraki*	*21,285*	*Bulk Carrier*	*Beached March 04*
3	*Distya Pushti*	*10,222*	*Tanker*	*Beached March 04*
4	Gala	16,885	Tanker	Arrived February 28
5	Hang	6,904	Reefer	Arrived March 02
6	Kane	12,389	Tanker	Arrived February 25
7	*Qinghai Lake*	*16,365*	*Tanker*	*Beached March 04*
8	*Star*	*9,612*	*Tanker*	*Beached March 03*
Total Tonnage		**111,311**		

GADANI - Port Position as of March 04, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic Enterprise	4,083.00	Accommodation Ship	Arrived February 07
2	DB Global 1	1,563.00	Barge	Arrived February 01
3	Jicore 9	468.00	Tug	Arrived February 01
4	*Medrock*	*949.00*	*Barge*	*Beached February 28*
5	New Inspiration	40,737.00	VLCC	Beached March 02
6	Star 1	17,586.00	Tanker	Arrived March 02
Total Tonnage		**65,386**		

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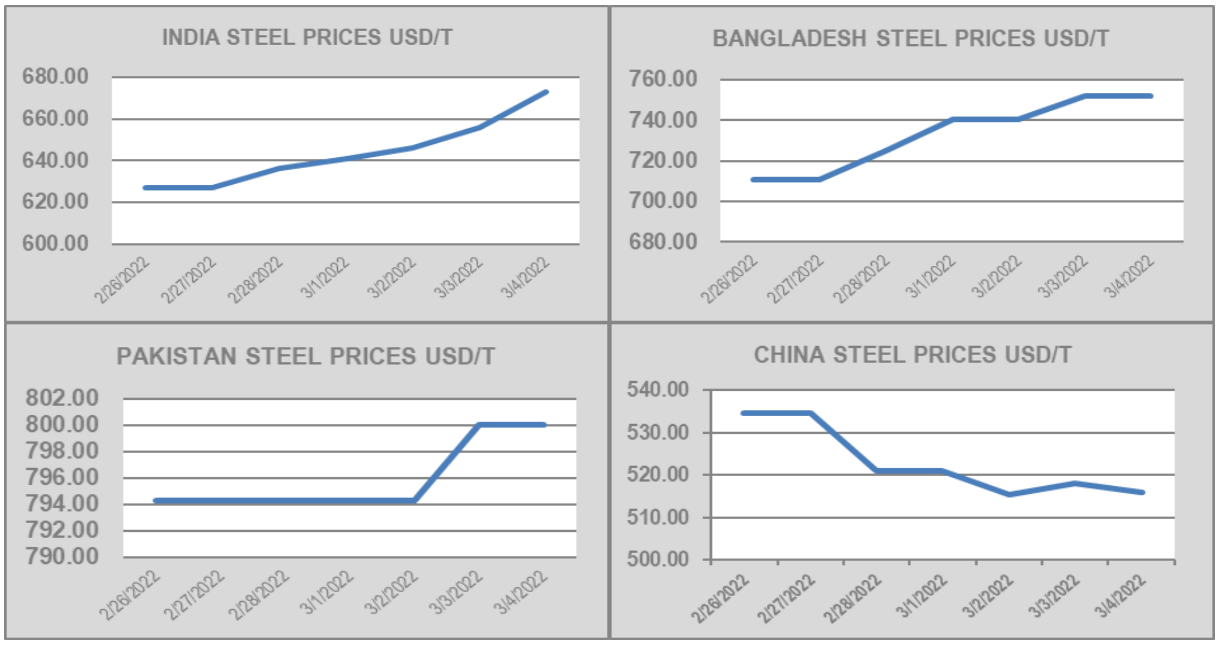
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/26/2022	626.83	47,200.00	794.29	139,000.00	710.93	60,500.00	534.76
2/27/2022	626.83	47,200.00	794.29	139,000.00	710.93	60,500.00	534.76
2/28/2022	636.24	48,100.00	794.29	139,000.00	725.03	61,700.00	521.18
3/1/2022	641.01	48,300.00	794.29	139,000.00	740.31	63,000.00	521.18
3/2/2022	645.97	48,900.00	794.29	139,000.00	740.31	63,000.00	515.38
3/3/2022	656.13	49,800.00	800.00	140,000.00	752.06	64,000.00	518.12
3/4/2022	672.98	51,200.00	800.00	140,000.00	752.06	64,000.00	515.90



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